



ACTION-PACKED START TO 2026



After 20 years of stop-start negotiations, India has signed a trade deal with EU that is expected to double bilateral trade by 2032



A long-awaited bilateral trade deal has also been finalised with the US that lowers tariffs on Indian exports from 50% to 18%



Added to that is the Budget, which focusses on boosting growth with slower fiscal consolidation and higher capex



Schemes such as tax benefits for data centres, measures for MSMEs, customs reforms and transfer pricing norms are expected to boost investments



Together, these measures are expected to improve industry and investor sentiment, and growth prospects for FY27

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NET GAINS

TARIFFS ON INDIA'S EXPORTS TO THE US

ITEMS	EARLIER TARIFF (MFN AND 50% RECIPROCAL)	NEW TARIFF (MFN+18% RECIPRO- CAL)	VALUE OF EXPORTS (\$ BILLION)
• Textiles, leather, footwear, chemicals, machinery, diamonds, marine products, home décor, toys	MFN+ 50%	MFN+18%	30.94
• Diamonds, auto parts and machinery, aircraft parts, tea, coffee, spices, some bakery products, fruits and vegetables	MFN+50%	0%	14
• Generic drugs, pharma, smartphones	26%	0%	26
• Steel, copper, aluminium, some auto parts	50%	50%	12